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<tr><td>DISTRICT COURT, SAN MIGUEL COUNTY, COLORADO
305 W. Colorado Avenue, Telluride, CO 81435
Telephone: (970) 369-3310</td><td rowspan="2">

▲ COURT USE ONLY ▲</td></tr>
<tr><td>Plaintiffs: James F. Lucarelli; Virginia F. Lucarelli; Erik R. Aura; Frances M. Aura; Angela I. Farrar; James W. Farrar; Morgan and Sarah Smith Family Trust of 2000, as amended; Morgan C. Smith; Lisa Henson Revocable Trust; Nicholas G. Farkouh; David W. Lavender; Karen C. Lavender; Charles Price; and Jesse Price,

v.

Defendants: The Board of County Commissioners of San Miguel County, Colorado; and the Town of Telluride.</td></tr>
<tr><td>Attorneys for Plaintiffs:
Sam D. Starritt, #27876
Scott D. Goebel, #57334
DUFFORD WALDECK
744 Horizon Court, Suite 300
Grand Junction, CO 81506
Telephone: (970) 241-5500; Fax: (970) 243-7738
E-mail: starritt@dwmk.com; goebel@dwmk.com; dwmk@dwmk.com</td><td>Case Number: 2023CV30044

Division: 2</td></tr>
<tr><td colspan="2" align="center">OPENING BRIEF PURSUANT TO C.R.C.P. 106(a)(4)(VII)</td></tr>
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Plaintiffs, Morgan C. Smith, the Morgan and Sarah Smith Family Trust of 2000, as amended, and the Lisa Henson Revocable Trust (the "Rule 106 Plaintiffs"), by and through undersigned counsel, respectfully submit this Opening Brief pursuant to C.R.C.P. 106(a)(4)(VII).

TABLE OF CONTENTS

TABLE OF AUTHORITIES

Cases

Statutes

Rules

Regulations

I. STATEMENT OF THE ISSUES

The following issues are presented for review on appeal: whether the Board of County Commissioners for the County of San Miguel ("BOCC") abused its discretion in exercising its quasi-judicial function by misapplying the law. The Rule 106 Plaintiffs own real property in San Miguel County, Colorado (the "Subject Lots"). All parties agree the Subject Lots are located on land formerly referred to as the "Sheep Ranch." The BOCC failed to correctly determine the following based on both contractual analysis and relevant law:

1. The "Preliminary Development Plan Approval for the Aldasoro Ranch Planned Unit Development" (the "1991 PUD Plan") was enacted pursuant to the San Miguel County Land Use Code ("LUC") § 5-317 and the Colorado State enabling enactment, C.R.S. § 24-67-101 *et. seq.*
2. One of the three "sub-districts" of the 1991 PUD Plan was the "Sheep Ranch."
3. The two lots owned by the Rule 106 Plaintiffs are part of the "Sheep Ranch."
4. The Subject Lots are part of a Planned Unit Development as defined by the LUC and C.R.S. § 24-67-101 *et. seq.*

Any conclusions to the contrary are not supported by the 1991 PUD Plan, the law, or any evidence in the record and should be reversed by this court upon a *de novo* review.

II. STATEMENT OF FACTS AND APPLICABLE LAW

A. History of the Aldasoro Sheep Ranch

1. For decades, Albert Aldasoro and his parents and siblings owned the original Aldasoro Sheep Ranch in San Miguel County, Colorado, above and west of the town. He adamantly wanted to maintain the original Aldasoro Sheep Ranch's natural attributes by limiting future use to only certain areas. R., Ex. B at 104, ¶ 9.

2. In 1982, Mr. Aldasoro placed all his land (approximately 4,466 acres) into a Planned Unit Development Reserve ("PUDR"). The County Planning Commission and BOCC approved this PUDR. R., Ex. F at 402.

3. This 1982 PUDR designated “Parcel A,” as ”Low Density,” “Parcel B” as ”High Density,” and “Parcel C” which is located next to the Telluride airport, as ”Light Industry.” Both Parcel A and B are part of what is now a low-density development called the “Aldasoro Ranch Subdivision.” The 1982 PUDR identified the remainder of his approximately 2,700 acres as open space/agricultural. R., Ex. F at 406 and Ex. C at 198.

4. On September 7, 1990, Mr. Aldasoro filed the initial sketch plans, transforming *part* of his approximately 4,466 acres of land holdings into a Planned Unit Development (“PUD”). He submitted his initial application for a PUD under Section 8.5 of the then-existing San Miguel County Zoning Regulations (“CZR”), for the development of approximately 1,500 acres of land that became the Aldasoro Ranch Subdivision. R., Ex. D at 223-224 and Ex. G at 488.

5. Mr. Aldasoro’s team filed the original PUD application documents on September 7, 1990, with the future development focus solely on the 1,550 acres that become the Aldasoro Ranch Subdivision R., Ex F at 362.

6. Running concurrently with Mr. Aldasoro’s PUD application, the San Miguel County Planning Commission held a series of development work sessions over a year to replace the existing CZR with a new Land Use Code (“LUC”). R., Ex. H at 544-545.

7. On November 30, 1990, these meetings resulted in the approval of the new LUC at a public hearing, which the BOCC ratified in Resolution #1990-93, recorded on December 14, 1990. *Id*.

8. The new LUC repealed and replaced the CZR and specifically applied to any Planned Unit Development applications that were not already “effective at the time of adoption.” R., Ex. H at 563 §1-302.

9. Under LUC § 5-317(A), all land within an approved PUDR is required to be placed

into a Planned Unit Development:

> The Planned Unit Development Reserve (PUDR) Zone District is intended to define the maximum long-term development potential of specific, large parcels of land under contiguous ownership in the Telluride Region (See Section 5-1403 F.)… **An applicant desiring to develop a PUD Reserve must obtain PUD approval for the entire parcel.** However, portions of a Reserve may be given different rezoning designations as necessary to implement the Telluride Regional Area Mast Plan…

R., Ex. H at 697 (emphasis added).

10. On November 5, 1990, the Aldasoro team submitted the first draft of what was to become the 1991 PUD Plan. R., Ex. D at 223.

11. This draft proposed the "Aldasoro Ranch Planned Unit Development" to cover solely the newly proposed Aldasoro Ranch Subdivision, and proposed the Airport Park and Sheep Ranch to be zoned to the newly created Forest, Agriculture, and Open Zone District ("F/Ag"). Within this first draft, the term "P.U.D." was introduced, stating "[t]he real property described in Exhibit DP-1 [i.e., the Aldasoro Ranch Subdivision] shall be referred to hereafter as the 'P.U.D.'" Additionally, the draft identified the "P.U.D. Plan" as including only the Aldasoro Ranch Subdivision, but not the Sheep Ranch or the Airport Park. R., Ex. D at 223-224.

12. However, in accordance with the new requirement of LUC § 5-317(A), which required that Mr. Aldasoro's entire parcel be included in the "PUD Plan," the parties *modified* the "P.U.D. Plan" definition substantially between the drafts, with the final exucted "P.U.D. Plan" containing specifications, limitations, and requirements regarding the possible future development of the Sheep Ranch and Airport Park in addition to the Aldasoro Ranch Subdivision. R., Ex. A at 27.

13. The County and Mr. Aldasoro finalized and approved the 1991 PUD Plan on February 8, 1991, which was two months after the LUC was adopted. R., Ex. A at 24.

B. The 1991 PUD Plan

14. The County states in the recitals of the 1991 PUD Plan, "the Planning Commission recommended, and the Board has found that the rezoning of the P.U.D., the Airport Park and the Sheep Ranch pursuant to this P.U.D. Plan conforms to the Telluride Area Regional Master Plan, referred to hereafter as 'Master Plan.'" R., Ex. A at 27.

15. The final 1991 PUD Plan includes three "sub-districts," referred to as the "P.U.D.," the "Airport Park" and the "Sheep Ranch." R., Ex. A at 27.

16. This 1991 PUD Plan represents the entirety of Mr. Albert Aldasoro's approximately 4,446 acres of land, not just the 1,550 acres that became the Aldasoro Ranch Subdivision. R., Ex. Ex. A at 27.

17. The 1991 PUD Plan rezones the Airport Park to the "Low-Intensity Industrial Zone District" and rezones the Sheep Ranch to F/Ag. R., Ex. A at 27.

18. The 1991 PUD Plan also rezones the section called the "P.U.D" to the "LowDensity Zone District," which allowed for the development of this section as a low-density subdivision regulated under C.R.S. § 30-28-101 *et. seq* as to all further development requirements. R., Ex. A at 27 and Ex. C at 199.[1]

19. The 1991 PUD Plan states that the "Master Plan requires all new developments to mitigate the transportation impacts they create." R., Ex. A at 33.

20. As part of the 1991 PUD Plan, Mr. Aldasoro agreed to apply a RETA to any parcel sold that was less than 100 acres to help the County's future transportation needs related to that new housing and population. This RETA, in the amount of ¾ of of 1%, applies to *both* the sale of

[1] For clarity, the "P.U.D." section of the property shall herein be referenced as the "Aldasoro Ranch Subdivision," the present and more commonly understood terminology for the property. As discussed later, the nomenclature and meaning of the "P.U.D." is at the center of the current issue before the Court.

all lots within the Aldasoro Ranch Subdivision *and* the Sheep Ranch for any transfers of land less than 100 acres. R., Ex. A at 33.

21. The 1991 PUD Plan identifies all the land included in the Aldasoro Ranch Subdivision, in attachment DP-1 (R., Ex. A. at 64) *and* all the land contained within the Sheep Ranch and Airport Park within DP-2. R., Ex. A at 67.

22. The 1991 PUD Plan limits the Aldasoro Ranch Subdivision to a maximum development of 166 lots (R., Ex. A at 35), and the Sheep Ranch to a density of one home per 35-acre lot for any future development under the F/Ag zoning. R., Ex. A at 26.

23. The County resolution approving the 1991 PUD Plan includes all three sub-districts by stating "the rezoning of the P.U.D. [Aldasoro Ranch Subdivision], the Airport Park, and the Sheep Ranch ***pursuant to this P.U.D. Plan*** conforms to the Telluride Area Regional Master Plan." R., Ex. A at 27 (emphasis added).

24. The 1991 PUD Plan requires Mr. Aldasoro to protect wildlife by prohibiting dogs other than working dogs on the Sheep Ranch. R., Ex. A at 46 § 11.5.

25. The 1991 PUD Plan requires that if Mr. Aldasoro sold lots of less than 40 acres, he dedicate portions of Last Dollar Road. R., Ex. A at 34 § 4.1.5.

26. The 1991 PUD Plan requires obtaining building site approval from the Department of Wildlife for any lots sold within the Sheep Ranch. R., Ex. A at 46 §11.6.

27. The 1991 PUD Plan expresses Mr. Aldasoro's specific intent to keep the remainder of his property as a working sheep ranch. R., Ex. A at 56.

C. Procedural Background

28. The Rule 106 Plaintiffs own the Subject Lots in the Diamond Ranch exempt subdivision on Deep Creek Mesa. This Diamond Ranch subdivision is part of, and entirely

contained within, the property called the Sheep Ranch in the 1991 PUD Plan. R., Ex. A at 7-9, and 11.

29. On August 23, 2023, the Rule 106 Plaintiffs requested a formal written opinion from County Planning Director Kaye Simonson under LUC § 1-1004. R., Ex. A at 7-9.

30. The Rule 106 Plaintiffs asked for a determination "of whether the land referred to as the 'Sheep Ranch' in the 1991 PUD Plan (shown on Exhibit DP-2 of the 1991 PUD Plan), which includes Diamond Ranch Lots 1 & 2, is part of a 'unified plan' of development under C.R.S. § 24-67-1010 *et. seq.* or not." R., Ex. A at 9.

31. On September 30, 2023, Ms. Simonson responded that the Subject Lots, "although subject to certain provisions as set forth in the Preliminary Development Plan Approval for Aldasoro Ranch Planned Unit Development, is not a part of the Aldasoro PUD." Ms. Simonson also states, "[t]he area that constitutes the Aldasoro Ranch PUD is based on the legal description contained in Exhibit DP-1," and that "[t]hroughout the PUD Approval, the Aldasoro PUD and Sheep Ranch are separately described." Finally, Ms. Simonson concludes by stating "[t]he PUD Approval clearly describes each area and separates the PUD from the Airport Park and Sheep Ranch." R., Ex. A at 10-12.

32. Ms. Simonson further concludes that "[i]n regards to the RETA, the specific restrictions on the Sheep Ranch parcels set forth in the PUD Approval override the Land Use Code." R., Ex. A at 12.

33. Seeking clarity on the issue, the Rule 106 Plaintiffs appealed Ms. Simonson's determination to the Board of County Commissioners ("BOCC") under LUC § 1-1903. R., Ex. A at 13.

34. The Rule 106 Plaintiffs provided a detailed history to the BOCC of why the term

"P.U.D." was used in the 1991 PUD Plan, and attempted to clarify the use of the term "P.U.D." in the 1991 PUD Plan. R., Ex. B at 105, ¶ 13.

35. This history included an explanation that when Mr. Aldasoro initially contemplated the development of the Aldasoro Ranch Subdivision, he had no interest in placing all his property in a "development agreement." This was because he had every intention of ranching on the Sheep Ranch for many years to come. R., Ex. B at 104-105, ¶ 9-12.

36. On November 15, 2023, the BOCC upheld the written interpretation of Planning Director Simonson, stating:

> Additional Findings. The BOCC found that the Preliminary Development Plan Approval document was clear and unambiguous regarding properties that were part of the Sheep Ranch and that section 4.1.1 of the same specifically expressed the clear intention of Aldasoro Ltd. to subject the Sheep Ranch properties to the RETA.
>
> . . . The BOCC hereby upholds the written interpretation of the Director Simonson.

R., Ex. F at 426, Recorded on January 17, 2024 # 483664.

D. Applicable Law

37. The County defined a PUDR under the 1972 CZR, § 9.1 as being "intended to define the long-term development potential of a given piece of land as to the type, location and amount of development." R., Ex. G at 495.

38. The 1972 CZR, § 9.3(2) further encouraged the use of "sub-districts" within the PUDR, stating that "the use of sub-districts within the PUD Reserve Zone is intended to better detail the land's development potential by indicating specific locations and amounts of various types of development." R., Ex. G at 496.

39. 1972 CZR § 9.6 designated sub-districts as "High Density Accommodations," "Medium Density Residential," "Low Density Residential," "Business/Industrial/Utility" and "Planned Open Space" R., Ex. G at 497-500.

40. Under the "Planned Open Space" designation, the 1972 CZR, § 9.6(5)(a) allowed only agricultural, forestry, parkland, or possible recreational use as a PUDR. R., Ex. G at 500.

41. In the event an owner wished to change an "Planned Open Space" designation to allow residential use, the 1972 CZR § 9.6(5)(b) deemed such a change to affect the entirety of the PUDR, and therefore required a full review of the PUDR and subsequent new approval of the PUDR. R., Ex. G at 500.

42. Under the 1972 CZR, when an owner of a PUDR was "ready to proceed with development, the applicant shall follow all PUD procedures and requirements as outlined in section 8 of this Zoning Resolution" R., Ex. G at 497 § 9.5(1).

43. The 1972 CZR defined a Planned Unit Development as "encourag[ing] flexibility in the development of land in order to promote its most appropriate use, improve design, character and quality… and preserve the natural and scenic features of open areas." R., Ex. G at 487 §8.1.

44. Under the 1990 LUC § 5-317(A), in order to move any and all land from an existing PUDR, *all* such land must to be placed into a Planned Unit Development agreement:

> The Planned Unit Development Reserve (PUDR) Zone District is intended to define the maximum long-term development potential of specific, large parcels of land under contiguous ownership in the Telluride Region (See Section 5-1403 F.)… **An applicant desiring to develop a PUD Reserve must obtain PUD approval for the entire parcel.** However, portions of a Reserve may be given different rezoning designations as necessary to implement the Telluride Regional Area Mast Plan…

R., Ex. H at 697 (emphasis added).

45. Under the 1990 LUC § 5-1401, a Planned Unit Development has the specific purpose of "encouraging efficient use of land," "preserving open space," achieving a compatible land use relationship with surrounding areas," and "promoting multiple land uses." R., Ex. I at 774.

46. Under the 1990 LUC § 5-1402(A), a Planned Unit Development is mandatory

"whenever a developer proposes to subdivide land at a density higher than allowed by right in a particular zone district." R., Ex. I at 775.

47. Under the 1990 LUC § 5-1403(A), the land proposed for "Planned Unit Development (PUD) must be in one ownership." R., Ex. I at 775.

48. Under the 1990 LUC § 5-1403(B), "area and bulk requirements and permitted land uses may be varied under the standards within specific zone districts to ensure compatibility among multiple land uses in a Planned Unit Development." R., Ex. I at 775.

49. Under the 1990 LUC § 2-3101, the LUC was intended to "ensure that development near or adjacent to public lands will not cause high concentrations of population in such areas." R., Ex. H at 588.

50. Under the 1990 LUC § 2-3102, the County policy was to "preserve and protect public lands from the impacts of incompatible development." R., Ex. H at 588.

51. Under the 1990 LUC § 2-3103, any future development had to ensure that it "will not result in adverse environmental impacts on such lands, such as… threats to wildlife habitat by dogs or human activity. R., Ex. H at 588.

52. Under the 1990 LUC § 2-3104, the County "favor[ed] low-impact land uses that support non-motorized dispersed recreation and the preservation of wildlife habitat, scenic quality and air and water quality." R., Ex. H at 589.

53. Under the 1990 LUC § 2-1202, the County desired to "[m]inimize any adverse scenic effects of roads and other facilities" with regulations "where the construction of such roads and facilities would impact the scenic quality of areas…" R., Ex. H at 581.

III. STANDARD OF REVIEW

A quasi-judicial decision involves a "determination of the rights, duties, or obligations of specific individuals on the basis of the application of presently existing legal standards" *Cherry Hills Resort v. Cherry Hills Village*, 757 P.2d 622 (Colo. 1988). C.R.C.P. 106(a)(4)(I) provides for judicial review of a quasi-judicial decision of any governmental body to determine whether the body "exceeded its jurisdiction or abused its discretion, and there is no plain, speedy and adequate remedy otherwise provided by law." *Widder v. Durango Sch. Dist. No. 9-R*, 85 P.3d 518, 526 (Colo. 2004). "An agency abuses its discretion if its decision is not reasonably supported by any competent evidence in the record, or if the agency has misconstrued or misapplied appliable law." *Giuliani v. Jefferson Cty. Bd. Of Cty. Comm'rs*, 303, P.3d 131, 138 (Colo. App. 2012).

Interpretation of statutes, codes and contracts are reviewed *de novo*. *Stevenson Imports, Inc. v. City & Cty. Of Denver,* 143 P.3d 1099, 1101 (Colo. App. 2006). The Court is "not bound to defer to an agency decision that misconstrues or misapplies the law." *Id.* at 1102; *Ad Two, Inc. v. City and Cty. Of Denver ex rel. Manager of Aviation*, 9 P.3d 373, 376 (Colo. 2000); *Pepcol Mfg. Co. v. Denver Union Corp*., 687 P.2d 1310, 1313 (Colo. 1984). Courts should strive to "ascertain and give effect to the mutual intent of the parties." *Pepcol Mfg. Co.*, 687 P.2d at 1313. A hyper-technical reading, or allowing inept expressions to defeat the evident intentions of the parties is disfavored in the interpretation of contracts. *Ad Two, Inc.*, 9 P.3d at 377. To determine contractual ambiguity, the Court in *Ad Two, Inc.* provided a detailed analysis:

> In ascertaining whether certain provisions of an agreement are ambiguous, the instrument's language must be examined and construed in harmony with the plain and generally accepted meaning of the words employed. Written contracts that are complete and free from ambiguity will be found to express the intention of the parties and will be enforced according to their plain language. Extraneous evidence is only admissible to prove intent where there is an ambiguity in the terms of the contract.

Ad Two, Inc., 9 P.3d at 376. Contract terms are ambiguous when they are susceptible to more than one reasonable interpretation. *Hecla Min. Co. v. New Hampshire Ins. Co*. 811 P.2d 1083, 1091

(Colo. 1991). "When an ambiguity is found to exist and cannot be resolved by reference to other contractual provisions, extrinsic evidence must be considered by the trial court in order to determine the mutual intent of the parties at the time of contracting." *Pepcol Mfg. Co.*, 687 P.2d at 1314. Further, "[t]his extrinsic evidence may include any pertinent circumstances attendant upon the transaction, including the conduct of the parties under the agreement." *Id.*

"Interpretation of a written contract and the determination of whether a provision in the contract is ambiguous are questions of law…, and the mere fact that the parties differ on their interpretations of an instrument does not itself create an ambiguity." *Fiberglas Fabricators, Inc. v. Kylberg*, 799 P.2d 371, 374 (Colo. 1990).

IV. ARGUMENT

A. The 1991 PUD Plan is a legal Planned Unit Development approved under C.R.S. § 24-67-101 *et. seq*, and the Subject Lots are within the 1991 PUD Plan.

Under C.R.S. § 24-67-103(3), a "Planned Unit Development" is "an area of land controlled by one or more landowners, to be developed under unified control or *unified plan of development* for a number of dwelling units, commercial, educational, recreational, or industrial uses, or any combination of the foregoing…" (emphasis added). The 1991 PUD Plan was intended by the parties to regulate all future development in a unified plan regarding (1) the Aldasoro Ranch Subdivision; (2) the Airport Park; and (3) the Sheep Ranch. SOF ¶ 9, 14-16. Any other interpretation of the 1991 PUD Plan is unsupported by law or the certified record.

The review factors for a Planned Unit Development under state law are consistent with the determination that Mr. Aldasoro's entire property was included under the 1991 PUD Plan. SOF ¶ 9, 14-16, 21. State law requires (1) a process for review that meets due process standards; (2) "a finding by the county or municipality that such plan is in general conformity with any master plan";

and (3) "the enactment of the resolution or ordinance." C.R.S. § 24-67-104. Beyond those simple requirements, the County and the developer are free to create a unified plan of future development for the entire property as they please, so long as the agreement is consistent with the Master Plan. Additionally, state law mandates that "[t]his article shall be liberally construed in furtherance of the purposes of this article." C.R.S. § 24-67-107(6).

There is no state law requirement for the entire Planned Unit Development to be identified with a legal description of metes and bounds, nor for a Planned Unit Development to contain a legal subdivision of all the property contained within the PUD. However, while a legal subdivision may be contained within a PUD agreement, a PUD agreement may also include other sub-districts that are not legal subdivisions.

The minimum statutory standards for a PUD include:

1. The plan *shall* "set for the uses permitted in a planned unit development and the minimum number of units or acres which may constitute a planned unit development." C.R.S. § 24-67-105(2);

2. The plan "*may* establish the sequence of development among the various types of uses." C.R.S. § 24-67-105(3);

3. The plan "*shall* establish standards governing the density or intensity of land use, or methods for determining such density or intensity, in a planned unit development." C.R.S. § 24-67-105(4); and

4. The plan "*may* require that the landowner provide for and establish an organization for the ownership and maintenance of any common open space." C.R.S. § 24-67-105(6)(b).

A review of the 1991 PUD Plan shows compliance with all state law requirements under C.R.S. § 24-67-101 *et. seq.* for a Planned Unit Development consisting of the entire property, and such intent is found throughout the 1991 PUD Plan. By way of example:

1. The 1991 PUD Plan specifies the Aldasoro Ranch Subdivision was limited to a maximum development of 166 lots. SOF ¶ 22; C.R.S. § 24-67-105(2); C.R.S. § 24-67-105(3); C.R.S. § 24-67-105(4);

2. The Sheep Ranch is limited to a density of one home per 35-acre lot under the F/Ag zoning designation for any future development. *Id.*

3. The County resolution approving the 1991 PUD finds "the rezoning of the P.U.D. [i.e., Aldasoro Ranch Subdivision], the Airport Park, and the Sheep Ranch under this P.U.D. Plan conforms to the Telluride Area Regional Master Plan." SOF ¶ 14; C.R.S. § 24-67-104;

4. The 1991 PUD Plan imposes a RETA on any future sale of property to counter the impact on transportation within *both* the Aldasoro Ranch Subdivision *and* the Sheep Ranch for any transfers of land less than 100 acres. SOF ¶ 20; C.R.S. § 24-67-105(2); C.R.S. § 24-67-105(3);

5. The 1991 PUD Plan requires Mr. Aldasoro to protect wildlife by prohibiting dogs other than working dogs on the Sheep Ranch. SOF ¶ 24; C.R.S. § 24-67-105(2);

6. The 1991 PUD Plan requires Mr. Aldasoro to dedicate portions of Last Dollar Road to the County if he sold any lots in the future that were fewer than 40 acres. SOF ¶ 25; C.R.S. § 24-67-105(2); C.R.S. § 24-67-105(3); and

7. The 1991 PUD Plan requires building site approval from the Department of Wildlife for any lots sold within the Sheep Ranch. SOF ¶ 26; C.R.S. § 24-67-105(2); C.R.S. § 24-67-105(3).

These provisions, among many others, demonstrate the parties' intent to create a "unified plan" for the actual development of the Aldasoro Ranch Subdivision and the possible future development of the Sheep Ranch. C.R.S. § 24-67-103(3); *Pepcol Mfg. Co.*, 687 P.2d at 1313. The Planned Unit Development Act is not limited to only covering land developed in the manner of a subdivision. By its very nature, a unified plan for developing an area of land can and should be broad enough to cover all types of development, density, and preservation.

The 1991 PUD plan unambiguously includes the Sheep Ranch as part of the "P.U.D. Plan" and the Subject Lots are indisputably within a Planned Unit Development. SOF ¶ 14-27. Therefore, the Subject Lots are part of a Planned Unit Development under state and local provisions of law. The County abused its discretion because there is no competent evidence in the record to support the County's interpretation, and the County's interpretation of the 1991 PUD Plan and then-existing LUC is incorrect. *Giuliani*, 303 P.3d at 138; *Stevenson Imports, Inc.*, 143 P.3d at 1101.

B. The 1991 PUD Plan is not ambiguous.

While it is possible the 1991 PUD Plan could be interpreted in the manner claimed by the County, when taken out of context, this interpretation is not reasonable. If a contractual phrase is potentially ambiguous, the Court must first determine whether the potential ambiguity may be "resolved by reference to other contractual provisions." *Pepcol Mfg. Co.*, 687 P.2d at 1314. Taken as a whole, the provisions of the 1991 PUD Plan resolve the ambiguity of the term the "P.U.D." without reference to extrinsic evidence.

First, LUC § 5-317(A) required Mr. Aldasoro to place all his contiguous property into a single Planned Unit Development as a condition of approval. SOF ¶ 9. Under the County's interpretation, only the "Aldasoro PUD" (*i.e.*, the Aldasoro Ranch Subdivision) comprised the total extent of the Planned Unit Development. SOF ¶ 31. The County's interpretation requires a conclusion that both parties ignored the existing law and only placed *some* of Mr. Aldasoro's contiguous land holdings in a PUD agreement, contrary to the requirements of LUC § 5-317(A). SOF ¶ 9, 14-15, 21.

Second, the 1991 PUD Plan constrains the future development of the Sheep Ranch and not just the Aldasoro Ranch Subdivision. SOF ¶ 15, 17-19, 22, 26; C.R.S. § 24-67-105(2-4). These provisions make no sense if the 1991 PUD Plan only covered the future development of the Aldasoro Ranch Subdivision.

Third, the 1991 PUD Plan shows a balance between the parties and their interests. For example, it grants Mr. Aldasoro the right to create a low-density residential development in the Aldasoro Ranch Subdivision, which is what he desired. SOF ¶ 22. In exchange, the parties agreed to protect the remainder of the Sheep Ranch from dense development and to limit the possible future development of the Sheep Ranch to lots of 35 acres or greater. SOF ¶ 22. At the time of signing the 1991 PUD Plan, Mr. Aldasoro intended to keep the remainder of his property as a working sheep ranch. SOF ¶ 2, 17, 27. The 1991 PUD Plan limits future development in the Sheep Ranch to ensure the County's interest in preserving large, relatively remote areas of the County for resource, agricultural, open space, and recreational purposes under the newly adopted LUC. SOF ¶ 9, 44-51.

Fourth, the term the "P.U.D. Plan" is used in other areas of the 1991 PUD Plan and specifically *incorporates all three sub-districts* within the definition. SOF ¶ 14-16. This shows the express intent to include all of Mr. Aldasoro's property within the 1991 PUD Plan. *Id.*; *Pepcol Mfg. Co.*, 687 P.2d at 1313. Aside from using the term the "P.U.D." in reference to the Aldasoro Ranch Subdivision, the parties' intent is unambiguous. Even the term the "P.U.D." makes sense if considered in context of the overall 1991 PUD Plan. After it was approved, the Sheep Ranch continued with ranching operations with *no immediate or anticipated* development. SOF ¶ 27, 35. Conversely, much additional work was anticipated for the subdivision section of the 1991 PUD Plan referred to as the "P.U.D" — the section eventually becoming the Aldasoro Ranch Subdivision. SOF ¶ 22.

In essence, the use of the term the "P.U.D." is shorthand for describing where the immediate development was to occur. However, simply because that part of the property was the immediate focus of development does not remove the fact the 1991 PUD Plan includes binding legal agreements regarding *all three sub-districts*, including the Sheep Ranch. SOF ¶ 14-16. This agreement for all three sub-districts meets the legal definition of a Planned Unit Development as applying to "an area of land controlled by one or more landowners, to be developed under unified control or unified plan of development." C.R.S. § 24-67-103(3). In addition, the LUC allows for varied land uses "within specific zone districts to ensure compatibility among multiple land uses in a Planned Unit Development. SOF ¶ 48.

Given the above, the Sheep Ranch, including the Subject Lots, are unambiguously part of and controlled by the 1991 PUD Plan under C.R.S. § 24-67-101 *et. seq.* The County abused its discretion because there is no competent evidence in the record to support the County's interpretation, and the County's interpretation of the 1991 PUD Plan and then-existing LUC is incorrect. *Giuliani*, 303 P.3d at 138; *Stevenson Imports, Inc.*, 143 P.3d at 1101.

C. County Planning Director Simonson's interpretation of the 1991 PUD Plan is legally incorrect.

While the parties express an intent to include all the land owned by Mr. Aldasoro in a PUD plan, the County attempts to create an ambiguity where none exists. County Planning Director Simonson concludes "[t]he area that constitutes the Aldasoro Ranch PUD is based on the legal description contained in Exhibit DP-1 [the metes and bounds describing the Aldasoro Ranch Subdivision]" and that "[t]hroughout the PUD Approval, the Aldasoro PUD and Sheep Ranch are separately described." SOF ¶ 31. Ms. Simonson states "[t]he PUD Approval clearly describes each area and separates the PUD from the Airport Park and Sheep Ranch." *Id*. This wrongful interpretation defines the Aldasoro Ranch Subdivision as the sole property subject to the 1991 PUD Plan, and thereby implies the rest of the property covered is *not within* a Planned Unit Development. This Court should not entertain this hyper-technical reading by Planning Director Simonson and adopted by the BOCC. *Ad Two, Inc.*, 9 P.3d at 377.

County Planning Director Simonson and the BOCC fail to properly conclude that the Sheep Ranch and Subject Lots are part of a Planned Unit Development under C.R.S. § 24-67-101 *et. seq.* SOF ¶ 12, 31, 36. The Subject Lots are part of a Planned Unit Development under C.R.S. § 24-67-

101 *et. seq.* for the following reasons: (1) the broad definition of a Planned Unit Development under C.R.S. § 24-67-103(3); (2) LUC § 5-317(A) requiring Mr. Aldasoro to place all of his land into a Planned Unit Development agreement (SOF ¶ 9, 44); (3) the use of the language in the 1991 PUD Plan stating the "P.U.D. Plan" covers all three sub-districts (SOF ¶ 14-15); (4) the finding that *all three sub-districts* with the "P.U.D. Plan" conform with the Master Plan (*Id.*); (5) the imposition of the RETA on any future sale of land in the Sheep Ranch with fewer than 100 acres (SOF ¶ 20); and (6) the numerous other development limitations and regulations that apply to possible future Sheep Ranch development in compliance with the LUC's policy for Planned Development Units. SOF ¶ 21-27, 44-48.

However, if the Court finds there is an ambiguity in the language regarding the term the "P.U.D.," the Court may consider extrinsic evidence to determine the parties' intent. *Pepcol Mfg. Co.*, 687 P.2d at 1314.

D. Extrinsic evidence supports the interpretation of the 1991 PUD Plan as a "unified plan" intended to control the land's future development.

All extrinsic evidence in the record supports the interpretation that the parties intended the 1991 PUD Plan to be a "unified plan" for the development of the entire property under C.R.S. § 24-67-101 *et. seq.*

It is certainly true that Mr. Aldasoro's *initial* draft PUD agreement submitted on November 5, 1990, contemplated only the development of the Aldasoro Ranch Subdivision and did not discuss the Sheep Ranch as being part of any future development. SOF ¶ 4-5, 10-11, 34. The initial draft first introduced the term the "P.U.D." as being defined as the Aldasoro Ranch Subdivision described in Exhibit DP-1. *Id.*

However, since the new LUC § 5-317(A) required an applicant moving from a PUDR to a PUD to submit a plan covering *all their* contiguous property, later drafts of the 1991

PUD Plan were updated to comply with the new requirement. SOF ¶ 7, 9, 14-27, 44. Although updates were made for compliance, some of the original nomenclature from the first draft, including the use of the term the "P.U.D.," remained in the final draft. Even so, the final draft language creates a unified plan under C.R.S. § 24-67-101 *et. seq.* to promote multiple land uses across all of Mr. Aldasoro's property. SOF ¶ 9, 14-15, 42-44, 47-48.

E. The Sheep Ranch must be within the Planned Unit Development if the County has the authority to collect RETA that is not allowed under the LUC

In her written determination, Ms. Simonson states "[i]n regards to the RETA, the specific restrictions on the Sheep Ranch parcels outlined in the PUD Approval override the Land Use Code." SOF ¶ 32. Ms. Simonson acknowledges the collection of a RETA arises solely from the 1991 PUD Plan, and is not tied to the LUC. *Id.* Ms. Simonson also acknowledges the Sheep Ranch is subject to, and therefore part of, the 1991 PUD Plan when she recognized the County's authority to collect RETA. *Id*. If the Subject Lots are not within the 1991 PUD Plan, the County has no right to assess such fees under the LUC.

Accordingly, if the Court finds the Subject Lots are not part of the 1991 PUD Plan approved under C.R.S. § 24-67-101 *et seq.*, then the RETA was improperly imposed on them and should not be imposed upon their eventual sale.

V. CONCLUSION

The Subject Lots owned by the Rule 106 Plaintiffs are subject to all benefits and burdens of the 1991 PUD Plan for the following reasons: (1) The 1991 PUD Plan incorporates all 4,466 acres owned by Mr. Aldasoro in 1991 due to numerous references in the overall development Plan that control future development; and (2) the newly adopted LUC required Mr. Aldasoro to place all his contiguous property into the 1991 PUD Plan based on LUC § 5-317(A).

As such, the Rule 106 Plaintiffs respectfully request this Court find the BOCC abused its discretition by misinterpreting the 1991 PUD Plan and the then-existing LUC. In addition, the BOCC's interpretation is not supported by competent evidence in the record. The Rule 106 Plaintiffs request a ruling that the Subject Lots are contained within the legal boundaries of the 1991 PUD Plan, as approved by the County in February of 1991 and under the authority of C.R.S. § 24-67-101 *et. seq*. Further, as part of this 1991 PUD Plan, any desire by any person or entity to change the use of the former Sheep Ranch must comply with the provisions of C.R.S. § 24-67-106(3)(a) to amend the 1991 PUD Plan, including the 1991 PUD Plan provisions regarding amendments to it.

In the alternative, if the Court finds the Subject Lots are not part of the 1991 PUD, the Rule 106 Plaintiffs request refunds of prior RETA payments made to the County and a ruling that no further RETA payments be asserted on the Subject Lots if they are not part of a valid and approved 1991 PUD Plan that covers the Subject Lots.

Dated: April 04, 2024.

DUFFORD WALDECK

*/s/_Scott D. Goebel*_______
Sam D. Starritt, #27876
Scott D. Goebel, #57334
Attorneys for Plaintiffs

CERTIFICATE OF SERVICE

I certify that on April 04, 2024, a copy of this **OPENING BRIEF PURSUANT TO C.R.C.P. 106(a)(4)(VII)** was submitted to all parties of record.

*/s/ Erica Anderson*____________
Erica Anderson, Paralegal